



“A reasonable expectation would be that markets grow in line with earnings growth, which is likely to be in the low double digits”

SANDIP BANSAL

Deputy CIO, ASK Investment Managers



“The financials sector could contribute significantly, along with consumer goods and defence. These present promising opportunities”

VIPUL BHOWAR

Senior Director—Listed Investments, Waterfield Advisors

with earnings, which are likely to rise in the low double digits, Bansal says. “The key concern is earnings growth,” he adds.

Retail firm Trent, part of the Tata group, was at the head of the Nifty pack with its one-year average market cap surging 96.24% to ₹2.18 lakh crore, as on June 30. After a 4% rise in consolidated profit after tax (PAT) in FY25 to ₹1,534 crore, Trent reported a robust 23.8% growth in PAT in Q1FY26 to ₹415 crore.

According to Motilal Oswal Financial Services,

Trent is making a push in Tier-II and III cities with significant long-term potential, although revenues in these markets may differ from mature metro locations.

Eternal (formerly Zomato) came a close second with a 92% jump in its market cap. “At least for the next two years, we feel that the growth rates will be high as we are still building out more infrastructure, and getting to 3,000 stores will take time,” CFO Akshant Goyal told analysts. Eternal’s FY25 PAT soared over 50% to ₹527 crore, while sales jumped 67% to ₹20,243 crore.

Other notable gainers were Bharat Electronics (up 67%), Mahindra & Mahindra (up 59%), and Bharti Airtel (up 55%).

Bharat Electronics (BEL) saw its PAT grow 34% in FY25 with a record order book of ₹71,650 crore. In BEL’s latest annual report, Manoj Jain, its Chairman and Managing Director, was quoted as saying that good order inflow is expected over the next two to three years.

Meanwhile, M&M and Bharti Airtel posted 12% and a staggering 477% growth, respectively, in PAT in FY25.

On the flip side, IndusInd Bank (down 28%) and Asian Paints (down 16%) saw steep declines in market cap on the back of subdued performances. IndusInd Bank’s PAT tumbled 71% in FY25, while Asian Paints posted a 33% drop amid weak urban demand and aggressive pricing.

Growth in the Nifty is expected to be driven by select sectors that are showing resilience in earnings, structural tailwinds, or benefitting from policy and macro tailwinds. Analysts are positive on a couple of sectors like financial services, consumer goods, infrastructure, capital goods, and oil and gas, among others.

Nikunj Saraf, VP of Choice Wealth, feels financial services remains the heavyweight and is expected to lead, supported by strong loan growth and stable asset quality. The IT sector has seen some softness lately, but deal wins, and the digital transformation trend have continued apace, so it may surprise on the upside.

Saraf adds that the energy and oil and gas space are interesting pockets, especially if crude prices stay elevated. Then there’s consumer—both staples and discretionary—that could benefit from festive demand and rising incomes. Lastly, infrastructure and capital goods are poised to do well, thanks to government spending.

Vipul Bhowar, Senior Director of Listed Investments at wealth advisory firm Waterfield Advisors, sees